Project Title: Strengthening capacities for increasing energy efficiency and reducing air pollution in Pljevlja municipality

Project Number:

Implementing Partner: UNDP Country Office Montenegro

Start Date: 15 October 2021 **End Date:** 15 October 2022

LPAC Meeting date: 5 October 2021

Brief Description

The *Strengthening capacities for increasing energy efficiency and reducing air pollution in Pljevlja municipality Project* will focus on designing and implementing tailor made and gender-responsive support programs that will: a) increase energy efficiency of the housing sector (individual and collective housing); b) promote the use of environmentally friendly energy sources for heating the housing sector (individual and collective); c) promote the use of heating systems with a higher degree of energy efficiency, and d) improve municipal administrative capacities in the field of decarbonization through managing the projects in the field of sustainable energy and climate change. The project will contribute to reduced air pollution in the urban area of Pljevlja municipality, as well as improved well-being of local population
The overall project objective is to contribute to reduce GHG emissions, which will reduce air pollution in Pljevlja municipality, especially in urban settlements where coal as an energy source is predominantly used for heating in the housing sector. It will be achieved through the development and implementation of an inclusive, , long-term program to subsidize energy efficiency measures, and the development of a local Environment Protection Action Plan that will be followed by establishment of a local unit for sustainable energy and climate projects and local financial mechanisms. Hence, Pljevlja municipality will build gender-aware administrative capacities to create and implement sustainable energy and climate change measures, manage a financial mechanism to subsidize a number of energy efficiency measures for the housing sector, including inter alia thermal insulation on residential facades, installing energy efficient facade joinery and replacing furnaces powered by solid fuels, used for heating etc.

Contributing Outcome (UNDAF/CPD, RPD or GPD): *Percentage reduction of annual greenhouse gas emissions* Indicative Output with gender marker: *Municipal administration's capacities for managing decarbonization processes and implementation of inclusive, gender-sensitive long-term Energy Efficiency Subsidy Program strengthened* GEN2	**Total resources required (EUR):**	**339,650**	
	Total resources allocated (EUR):		
		Pljevlja municipality	279,650
		UNDP TRAC	
		In-kind:	
	Unfunded (EUR):		60,000

Agreed by: (signatures):

Government	UNDP - Implementing Partner
Pljevlja municipality Igor Golubović, the Mayor	UNDP Montenegro Daniela Gasparikova, Resident Representative
Date:	Date:

I. DEVELOPMENT CHALLENGE

Montenegro is committed to the Paris Agreement and the European strategic long-term vision to become the first global climate neutral continent by 2050. This long-term commitment, to a large extent, is based on coal phasing-out processes, as an energy source for electricity generation. This to big extend impacts city of Pljevlja which has been historically deeply dependent on high carbon industries, primarily in the Pljevlja Thermal Power Plant.

The most important branches of economy in Pljevlja include mining, energy, wood industry and agriculture. Due to the resources available to existing industries, Pljevlja is the mining and energy centre of Montenegro. The most important economic operators within the jurisdiction of municipality, which crucially affect the economic development and current status of Pljevlja municipality, include Pljevlja Coal Mine JSC, Thermal Power Plant (TPP) Pljevlja, Lead and Zinc Mine "Gradir Montenegro", as well as a large number of wood processing companies.

The energy complex located in Pljevlja has a share of 40-50% in the annual electricity generation in Montenegro, which increases the strategic importance of this, in terms of population relatively small municipality, although it covers approximately 15% of Montenegro's territory.

The main demographic issues of Pljevlja municipality include: evident and continuous migration of rural population to urban areas, which affects the depopulation of rural areas and the emergence of a large number of rural settlements with no inhabitants; large difference between the number of out-migrants and the number of in-migrants; depopulation and negative natural population growth over the years.

For decades, the coal-based industry and inefficient coal-based heating of residential buildings have been considered the silent killer of the city of Pljevlja, given the fact that the total amount of coal burned in Pljevlja is over 1,800,000 tons per year, of which 1,700,000 tons in TPP Pljevlja.

Intense air pollution in Pljevlja began with the opening of mines and coal exploitation in 1952, and even back then it had a visible negative effect on the health of residents, especially the most vulnerable categories of the population, such as children, chronic patients and the elderly.

Air pollution is also confirmed by figures: for the period from November 2019 to March 2020, pollution values were exceeded in the period of 79 days, although a certain percentage of reduction in the number of pollution days is evident as a result of many years of subsidies and promotion of biomass pellets as energy source for heating implemented by the Municipality of Pljevlja. The acceptable limits of the EU Air Quality Directive are only 35 days a year. The key parameters of deteriorating health are reflected in the increase in the number of premature births and new-borns with congenital anomalies, adverse effects on the respiratory system of adults and young patients, increase in depression, psychosis, cases of epilepsy.

There is a strong political will of the local government to tackle this challenge, which is confirmed by Pljevlja's accession to the Declaration of Mayors on Just Transition in 2019, as well as the expressed interest in joining the Covenant of Mayors on Climate and Energy. In addition to the obvious political will, there is an evident increase in financial resources allocated for these purposes. From 2015 to 2020, Pljevlja municipality, together with the former Ministry of Sustainable Development and Tourism, the current Ministry of Ecology, Spatial Planning and Urbanism of Montenegro, carried out a series of activities aimed at improving energy efficiency and appearance of buildings in the city centre that used heat energy from the boiler room in Skerliceva Street, a heating energy source for district heating in the city centre for 360 users.

Given that one of the key sources of pollution in Pljevlja are furnaces powered by the coal, the local government has launched several initiatives and projects aimed at reducing the use of coal for heating and increasing the energy efficiency of the housing sector. Since 2015, the Municipality has been distributing pellets to households at subsidized prices, which has resulted in reducing the number of households using coal for heating by 20%, while the amount of coal sold to households has decreased by approximately 35%.

Since 2020, Pljevlja municipality, based on the decision adopted in the local parliament, has been collecting a fee for protection and improvement of the environment from potential polluters (Electric Power Company of Montenegro (*Elektroprivreda Crne Gore*) - TPP Pljevlja, Pljevlja Coalmine JSC, Gradir Montenegro Doo), which will further improve the financial capacity of the municipality to invest in green, sustainable energy and climate solutions and create opportunities for Pljevlja municipality to invest more intensively in projects aimed at improving the environment. The funds raised are intended for investment in projects and initiatives, which will enable better protection of the environment, reduction of greenhouse gas emissions, promotion of green businesses and finally, among other things, reduction of Pljevlja's dependence on coal and improvement of air quality.

The city administration urges for assistance in designing strategic guidelines and innovative models for restructuring and diversification of local economy with the aim to set the long-term pathways to reducing the coal-based industry dependency, enhancing the adaptive capacity of local communities and shifting the local economy towards sustainable economic activities.

Although the beforementioned issues and challenges impact the overall population of Pljevlja, they further exacerbate the already unequal position of women and girls and reduce opportunities available for them. Gender responsive local and national energy policies, strategies and programs can be a lever for addressing gender inequalities across the energy value chain, with collateral impacts on environmental sustainability, social inclusivity, and economic growth. Moreover, the equal participation of women and men is imperative for achieving universal energy access and meeting the Sustainable Development Goals (SDGs). Policy and regulatory instruments can be a way to help close gender gaps in the energy sector; create awareness and understanding of the role of women in the workforce; send a strong signal to developers and investors, creating the tone and space for bottom-up change; and encourage information exchange, education and communication about gender informed approaches.

With men being predominantly employed in the mining and energy sector in Pljevlja, women remain trapped with domestic and caretaking duties and economic dependence on men. Women working in bakeries, supermarkets, local shops, and cleaning and caretaking services often suffer severe working conditions and lack of insurance, not to mention the low salaries. Finally, considering that women in Montenegro make up more than a half of the population, they represent a significant untapped human potential that could contribute to innovative and green solutions, while boosting the economic growth and creating new jobs in Pljevlja.

UNDP has a long-standing cooperation, both with the Government of Montenegro, the private sector, academia, and with the local government of Pljevlja and a wide network of local stakeholders, in various fields. Some of the key projects that are worth mentioning in the context of this project are:

- **Growing Green Business project funded by GEF (Global Environment Facility)** - uses a combination of creating a favourable business environment, providing business support services and instruments to improve access to finance for innovative green businesses and partnerships, especially in agriculture, tourism and energy sector. It also provides technical assistance to the local government of Pljevlja to design a program to support the implementation of energy efficiency measures in residential buildings in order to reduce the use of coal for heating, reduce electricity costs, improve air quality and reduce energy poverty.
- **Community Engagement for Sustainable Urban Futures** - an initiative supported by UNDP's Regional City Experiment Fund, funded by the ***Transformative Governance and Finance Facility TGFF II*** of Slovak Ministry of Finance. Tools and processes are provided to implement portfolio design and human-centred processes, experimentation, solution mapping, mentoring and teaching programs targeting youth in the private and public sectors to enable the creation and testing of a platform for dialogue on urban transformation through interactive debate, insightful discussions and engaging different stakeholder groups to create sustainable solutions in the community.
- **Strengthening the capacity of decision-makers and policy makers at the national and local levels** - a project implemented under the UNDP Resource Mobilization Programme, funded by the Slovak Ministry of Finance. Support was provided to the City of Pljevlja in 1) preparation of a Feasibility Study for the public lighting system modernization which includes: energy passport, technical solution for upgrading (replacement, management and monitoring) the system, cost estimation, expected energy savings and CO_2 reduction potential, as well as guidelines for investment modalities, 2) preparation of energy audit of nine (9) residential and public buildings in the city centre, constituting the basis for investment of approximately EUR 0.5 million in energy efficiency measures that significantly reduced the use of coal for heating and reduced CO_2 emissions and polluting particles.
- **Regional programme RELOAD** funded by the European Commission - supported the city administration in implementing support programs for local civil society organizations, which strengthened the partnership and improved the work of local organizations in the fields of environment and climate, social inclusion, tourism promotion, education and youth participation.
- **UNDP Gender Programme IPA 2010**, jointly implemented by the Ministry of Human and Minority Rights and UNDP and financed by the EU Delegation to Montenegro, supported the economic empowerment of women through piloting a grant scheme for women's businesses including Pljevlja.

The above initiatives are an indicator of long-term, fruitful cooperation between UNDP and local government of Pljevlja and the comparative advantage of this cooperation, for at least two reasons: 1) reliable and open partnerships with local government and key local stakeholders provide a solid basis for building on current results; 2) know-how and expertise in the UNDP team, together with many years of experience and innovative approaches, promise efficient and effective

planning and implementation of planned activities. Additionally, a solid synergy of these projects' interventions will be secured so as to provide for efficient and rationale use of available resources.

In accordance with the above, the project will focus on a) creating and implementing models, measures and support programs for citizens, which will, among other things, increase the energy efficiency of residential buildings and reduce the use of coal for heating in households, and b) building administrative capacities in the field of decarbonisation and sustainable energy that will be supported by development of the Local Environmental Action Plan - LEAP. The project will contribute to reducing air pollution and improving the well-being of the local population, which will have better access to sustainable energy as well as to strengthening local businesses that provide green, sustainable solutions in residential sector. Finally, by integrating gender equality and women's empowerment principles in all of the activities, the project will further contribute to gender equality in Pljevlja.

II. STRATEGY

As Pljevlja municipality is one of the 10 cities in Europe with the highest air pollution in Europe, that is primarily caused by the usage of coal for heating and energy production, the municipal administration is trying to find solutions that will improve the quality of life of local population by a) improving municipal administrative capacity in the area of decarbonisation and sustainable energy management; b) increasing the energy efficiency of buildings/residential houses; c) promoting the use of environmentally friendly energy sources for heating individual houses and residential buildings; d) promoting the use of heating systems with a higher degree of energy utilization.

In 2020, the Municipality adopted the Decision on the amount and method for payment of fees for protecting and improving the environment, in accordance with Article 79 of the Law on Environmental Protection, which allowed local governments to prescribe fees for protecting and improving the environment, with the prior consent of the Government, depending on their respective needs and specific conditions. From the collected fees, in 2021, the municipality allocated EUR 280,000 for the design and implementation of an energy efficiency subsidy programme targeting residential sector. In order to ensure high quality, transparency and effectiveness of the programme, the municipal administration requested assistance for the conceptualization and piloting of a model that should be used for the implementation of the Calls for Proposals as an instrument for the implementation of support programs. Within the same assistance, it is planned to develop the *Local Environmental Action Plan (LEAP) for the period 2022 – 2026.* The previous LEAP has expired in 2015, afterwards the municipality had drafted annual Information containing planned measures and the presentation of the measures implemented in previous period. The provided technical assistance will at the same time serve as a capacity building excersize and will produce communication tools for better engagement of citizens in planning and decision-making processes.

The overall project objective is to reduce GHG emissions and air pollution in Pljevlja municipality, especially in the urban settlements where the dominant sources of pollution are furnaces powered by the coal.

This objective will be achieved by planning and subsidizing the set of gender-responsive energy efficiency measures, that is reducing the required amount of energy for heating, including the installation of thermal insulation on the facades of residential buildings, installation of energy efficient facade joinery and promotion of environmentally friendly energy for heating, including replacement of furnaces using coal to heat houses, as well as a number of other sustainable energy and climate measures.

The expected results of the project are:

- Reduced amount of energy needed for heating in households;
- Reduced consumption of coal for household heating;
- Increased efficiency of heat production for households' heating;
- Improved energy performance of households, including female-headed housеhols;
- Reduced costs of retrofits in residential sector,
- Reduced average energy bills and increased standard of living for households, including female-headed housеhols;
- Improved air quality;
- Ensured improvement of population health, comfort, and well-being, by reducing energy poverty, empowering women, and girls to actively participate in project activities

- Promoted and embraced good practices and sustainable models for energy and climate actions, that ensure wide outreach and citizens participation, including women and girs;
- Evidence on replicability and scale-up of approach in future shared with other municipalities in Montenegro;
- Supported local economy and increase in green jobs in the retrofit sector as part of the wider COVID-19 economic recovery,
- Supported local economy and increase in green jobs trough promoting women's entrepreneurship;
- Increased public awareness of all citizens on the importance of decarbonisation, and energy efficient municipality
- Strenghtened awareness of the municipal administration to integrate gender equality principles into climate-neutral initiatives, using sex disaggregated data, gender analyses for planning and implementation energy efficiency measures and environmental protection.

This will be achieved through:

Component 1. An inclusive, gender-sensitive, long-term Energy Efficiency Subsidy Program, based on regional best practices designed and piloted

In order to support Pljevlja local administration to facilitate processes that will lead to improved quality of life of local population, improved air quality and increased attractiveness of the city for life and work, it is necessary to establish local co-financing mechanism/s that will ensure inclusive, transparent and effective utilization of local environmental revenues, usage of the best available technologies, engagement of local businesses and women's empowerment. This will be enabled through a design of an inclusive, gender-sensitive, long-lasting Energy Efficiency Subsidy Program, based on regional best practices.

Component 2. Municipal administration's capacities for managing decarbonization processes and projects strengthened

In order to enhance the capacities of municipal administration for management of decarbonisation processes and projects, as well as reporting on implemented activities and achieved results of reducing GHG emissions, it is required to set up tools and mechanisms that will provide for information sharing and constant on the job training of relevant administration structures providing for environmental protection and sustainable energy and climate management. This will be achieved by providing advisory services and expert support to the staff of the local unit for sustainable energy and climate projects and local financial mechanisms, as well on the integration of gender equality principles for the following activities:

- Identification, initiation, financing, implementation, monitoring and reporting on municipal projects primarily in the area of sustainable energy, energy efficiency and climate change,
- Energy management,
- Support for executing local, national, and international financing mechanisms for the implementation of various incentive programs,
- Integration of gender equality principles in project development, implementation, monitoring and evaluation and gender-responsive budgets,
- Support for creating platforms to

a) engage local people and communities, with special attention to participation of women and girls
b) promote the citizens' voice and initiatives in the municipality's decision-making processes, while promoting the representation of women in these processes by setting quotas for women's involvement
c) encourage transparent and inclusive dialogues to promote gender responsive energy efficiency measures and empowerment of women and girls to participate in management of decarbonization processes.

Theory of change (TOC)

The key components and assumptions of change theory are as follows:

If the Local Environment Action Plan is developed in accordance with the Law on Environment and IUCN guidelines, in addition to high-quality training, **then** local capacities will be sufficiently built to update existing measures, create, implement and monitor new ones, and report on the progress made in achieving the goals set.

If local capacities for planning, development, financing, coordination and implementation of co-financing measures and mechanisms are developed enough to respond to the specific needs of each beneficiary, **then** no citizen or local company, as end users of the mechanism, will be denied the possibility to use the benefits of the mechanism(s). One of the key principles will also be achieved, which envisages the use of a portion of local revenues for protecting and improving the environment, and enabling users to have equal access to those services.

If a long-term program to subsidize energy efficiency and other sustainable energy and climate programs, which includes a local co-financing mechanism(s) based on best regional practices, is well established and reflects the needs of citizens, **then** local revenues for environmental protection and improvement will be used efficiently, as well as best available technologies, while local businesses will be engaged, and none of the parties involved in the mechanism will be left out. The key goal of the project will also be achieved, which envisages the reduction of greenhouse gas emissions and improvement of the quality of the environment, and thus the reduction of air pollution, that is the number of patients whose diseases are associated with air pollution.

If the local government recognizes the importance and makes efforts to identify the needs of citizens and local businesses, in terms of defining the roadmap for sustainable and low-carbon development and providing a long-term community-based energy efficiency subsidy program, and if they update existing and develop new mechanisms accordingly and implement them, **then** there will be less pollutants in the air, and the city and surrounding villages will be cleaner and better place to live, which will ultimately result in the attractiveness of the city, improved quality of life and at the living standards of citizens, as they will have lower annual energy costs and at the same time live in more comfortable refurbished residential buildings. Also, the citizens will have tools to vocalize their needs and to have a more significant role in planning and decision-making processes.

Finally, **if** the local administration is gender-aware, women and girls' needs and voices are heard, and their access to resources for innovative green solutions are streamlined **then** the strategic policies and long-term programs will be developed in gender-responsive manner, that will further empower and foster an active role of women and girls, which will ultimately unlock their full potential and lead to improvement of their position in the society.

The theory of change will be regularly revised and updated as necessary through the Project Board mechanism.

III. RESULTS AND PARTNERSHIPS

Expected Results

Key result 1: An inclusive, gender-sensitive, long-term Energy Efficiency Subsidy Program, based on regional best practices designed and piloted

In order to support Pljevlja local administration to facilitate processes that will lead to improved quality of life of local population, improved air quality and increased attractiveness of the city for life and work, it is necessary to establish local co-financing mechanism/s that will ensure inclusive, transparent and effective utilization of local environmental revenues, usage of the best available technologies, engagement of local businesses and women's empowerment. This will be enabled through a design of an inclusive, gender-sensitive, long-lasting Energy Efficiency Subsidy Program, based on regional best practices.

The project is designed in a way to ensure inclusive approach to developing local administration's incentive mechanisms, with particular focus on female-headed households, single parents, elderly and socially endangered families. This will be achieved through a carefully determined selection criteria having a positive action approach and the provision of necessary administrative and logistic support to households having challenges to respond to all requirements.

In order to achieve these results, the indicative activities will include:

1. **Analyse regional and EU best practices in the field of Incentive Programs intended to increase energy efficiency and promote usage of environmentally friendly energy sources for heating in households**
2. **Develop a Model for Energy Efficiency Subsidy Program containing:**

a) Technical criteria and requirements for the implementation of the program including: eligibility criteria for end beneficiaries, best available technology requirements, selection criteria for companies to conduct energy audits, procure equipment and implement energy efficiency measures, selection criteria for companies/individuals to conduct supervision and monitoring of the interventions,

b) Financing structure of the Program, including partnership and contractual relations with contractors and possibly commercial banks,

c) Legal requirements (e.g., property relations, etc.),

3. **Call for Proposals** with all related annexes for citizens – end beneficiaries, promoting women's participation

4. **Calls for Proposals for companies** – to conduct energy audits, to prepare technical design (when needed), to provide/deliver equipment/works/installations, to monitor and supervise works/installations

5. **Call for proposals for commercial banks**

6. **Implementing structures** (evaluation, monitoring, reporting)

7. **Implement the first cycle – Pilot EE Subsidy Programme**

8. **Report on the benefits and impacts of the Subsidy Programme**

Key result 2. Municipal administration's capacities for managing decarbonization processes and projects strengthened

In order to enhance the capacities of municipal administration to manage gender-sensitive decarbonisation processes and projects, as well as reporting on implemented activities and achieved results of reducing GHG emissions, which will ensure environmental protection and sustainable energy and climate management, it is required to set up tools and mechanisms that will provide for information sharing and continuous training of relevant administration structures.

The indicative activities:

1. Establish a local unit for sustainable energy and climate projects and local financial mechanisms;
2. Design the online and offline tools to enable participation of citizens, ensuring the representation of women and girls, in the support program design process (assessment of needs, financial and economic power, legal constraints, etc.)
3. Create a web portal to support the implementation of programs to support energy efficiency measures and other sustainable energy and climate measures (online application, online information exchange and reporting);
4. Organize peer to peer learning sessions for members of the municipal administration, including on gender equality and empowerment of women in decarbonization processes
5. Prepare guidebooks for the replication and scale up of the EE Subsidy Programme in the future and in other municipalities
6. Develop training and guidebook on mainstreaming gender equality and empowerment of women in programming, EE Subsidy Programme and best practices

The *Local Environment Action Plan* (LEAP) has to be developed through a consultative process, with expert assistance, as well as the involvement of as many stakeholders and citizens as possible at the municipal level, with ensuring the equal participation of women and girls. During the development and subsequent implementation of the Plan, the Municipality will provide strong support, political commitment and commitment to the development of the Plan, through

the engagement of a local unit for sustainable energy and climate projects and local financial mechanisms, which will be involved throughout the process, together with the consultant/s. The consultant/s will conduct adequate trainings, based on a defined training plan, whereby the municipal unit will acquire relevant skills for long-term implementation, monitoring, and reporting on LEAP and gender mainstreaming. The indicative activities are as follows:

1. Define a clear roadmap for the LEAP document development process, including data collection, training, involvement of the public and stakeholders to determine the overall objectives, measures, targets and indicators
2. Review of the implementation of the previous LEAP
3. Determine the objectives, measures, targets and indicators including gender equality-oriented objectives and targeted actions
4. Develop a plan for financing the measures including gender-responsive review
5. Develop guidelines for monitoring, updating and reporting
6. Develop guidelines for gender mainstreaming and collection of sex-disaggregated data
7. Public consultations that ensure wide participation of citizens and in particular of women and girls
8. Finalization of the LEAP.

Engagement of citizens, civil society, business and other associations, academia and all other relevant stakeholders will be ensured in both phases – review of the implementation of the previous LEAP and development of the new LEAP:

Once drafted, the LEAP is to be formally adopted by the municipal parliament.

Resources Required to Achieve the Expected Results

The contribution of Pljevlja municipality is in the amount of EUR 279,650 euro (source: local budget), while UNDP will secure remaining 60,000 euro.

UNDP will provide for:

1. Technical assistance to design Model, develop and implement set of Calls for Proposals and validate the results;
2. Technical assistance for the local government capacity building - development of the gender-sensitive *Local Environmental Action Plan (LEAP) and c*reation and piloting of online and offline tools for citizen involvement, encouraging women and girls to engage
3. A project management team dedicated to overall project management and coordination, facilitating all the activities foreseen to achieve set results.

Partnerships

The project is the result of collaboration between the Pljevlja Municipality and the UNDP CO Montenegro.

As described in the paragraph *Expected Results*, the project results, according to the chosen *theory of change*, will be achieved through the realization of two different, but compatible components of the project where the Pljevlja Municipality is the main partner. Apart from the Municipality, other relevant local and state institutions and bodies, a number of private enterprises, as well as women's civil society organizations, will also be directly involved in the project, working closely with all other partners.

Valuable technical expertise will be deployed by the project and will provide inputs to the Project Board and when relevant, thematic working group/s comprised of representatives of the municipal administration, UNDP and independent expertise representatives, which will result in a strong partnership capable of achieving all the expected results.

Semi-annual and annual action plan will be presented to and adopted by the Project Board for the purpose of defining the detailed dynamics of realization of project activities. Progress reports, both in terms of financial and operational progress, will be presented to the Project Steering Committee on a regular basis.

Risks and Assumptions

This Project has been based on the assumption that the Municipality of Pljevlja has ensured funding for promoting energy efficiency on its territory and has deep understanding of the complexity of the process of establishment of a financing mechanism that is needed for the objective, targeted and transparent disbursement of funds.

It is anticipated that there is a growing interest of local population to co-invest in actions that lead to improved energy efficiency and reduction of CO2 emissions such as thermal insulation on residential facades, installing energy efficient facade joinery and replacing furnaces powered by solid fuels, used for heating etc.

The Project is also based on the assumption that the best available technologies will be deployed for the implementation of energy efficiency measures that would be implemented by the pool of local companies.

Risks	Probability	Impact	Mitigation Measures
Limited capacities of the local administration to implement the Subsidy Model and the Local environment action plan	Low	Medium	The Project envisages peer to peer learning and on the job training of selected municipal administration servants so as to enable them to continuously implement, monitor and report on both the Subsidy Model and the LEAP
Insufficient interest of local households to invest in energy efficiency measures such as thermal insulation on residential facades, installing energy efficient facade joinery and replacing furnaces powered by solid fuels, used for heating etc.	Medium	Medium	The project will invest in the platform for enhanced communication of the local administration with citizens and will have large campaign to present the benefits of the Model towards the local population as well as financing sector (commercial banks)
Limited capacities of local companies envisaged to implement various energy efficiency measures	Medium	Low	The Project will have thorough mapping of all different companies throughout Montenegro to identify the ones with necessary capacities and will conduct the Call for Proposals to select the ones that will be contracted for specific activities of design, procurement, installation and maintenance of specific equipment.

Stakeholder Engagement

The project aims to target local population – households in the urban centre of Pljevlja municipality who are the main beneficiaries of the project, along with the municipal administration whose personnel will be involved in project activities having the coordinating role as well as foreseen to be recipients of training and capacity building.

Local companies in the area of energy and construction design are identified as key stakeholders important for the implementation of selected energy efficiency measures and design of technical documentation.

Financial institutions – commercial banks will have a pivotal role in providing financial services to local population ensuring their co-financing of investments in energy efficiency measures.

Media – traditional electronic and print media, online platforms – web portals and influencers on social networks will be part of communication campaign needed for ensuring the uptake of local population and companies.

Local community based organizations in the area of environment are expected to contribute to the communication of the support programme to citizens and in the process of developing the Local Environmental Action Plan so as to present the needs of local communities and discuss potential solutions. Human rights and women's rights NGOs are identified as an important stakeholder that can provide inputs with regards to specific issues faced by women and girls, support the project team to ensure the representation of women, and provide ideas on how the project can specifically support women in improving their position in the municipality.

Relevant local and state institutions and bodies will be directly involved in various phases of the projects depending on the specific requirements.

South-South and Triangular Cooperation (SSC/TrC)

The project heavily relies on the experiences and practices developed by UNDP CO Bosnia and Herzegovina *Decarbonisation of Residential Sector and the Private Sector Engagement Project*

Knowledge

The Project foresees development of a Model for subsidizing energy efficiency measures in Pljevlja municipality that will be used as a role model for all other local administrations in Montenegro to boost up investments in energy efficiency. It will contain detailed manuals describing requirements, roles, and procedures for its implementation.

All major activities will be communicated to general and targeted public through an online communication platform to be produced by the project, aiming at enhanced citizens' participation, with specific focus on women and girls, in planning and decision-making processes on local level.

Sustainability and Scaling Up

The Model for subsidizing energy efficiency measures in Pljevlja to be developed with the Project technical assistance is to become a long-term financial mechanism that will be used to promote further decarbonization

Local unit for sustainable energy and climate projects and local financial mechanisms is going to contribute to building of administrative capacities of Pljevlja municipality for the following:

- Identification, initiation, financing, implementation, monitoring and reporting on municipal projects primarily in the area of sustainable energy, energy efficiency and climate change,
- Energy management,
- Support for executing local, national, and international financing mechanisms for the implementation of various incentive programs,
- Support for creating platforms to

a) engage local people and communities, especially women and girls;
b) promote the citizens' voice and initiatives and ensure participation of women and girls in the municipality's decision-making processes,
c) Encourage engagement in transparent and inclusive dialogues to promote gender responsive energy efficiency measures and to include aspects of gender equality in management of decarbonization processes.

IV. PROJECT MANAGEMENT

Cost Efficiency and Effectiveness

Effectiveness in the design, delivery, and evaluation of project will be assured through applying UNDP principles and rules and regulations assured through monitored processes and generated evidences, at the same time tracking how much costs to deliver outcomes through different project activities and using that cost evidence to inform future responses.

Project Management

The Project will be implemented under Direct implementation modality (DIM) in accordance with UNDP rules and regulations.

The Project Board (Steering Committee) will be established at the very beginning of the Project implementation and will be comprised of two representatives of the Municipality of Pljevlja and a representative of UNDP.

The Project Board will be responsible for providing general oversight and guidance to ensure achievement of the Project objectives and results. The Project Board shall approve a detailed plan of project activities and, if necessary, approve its adjustments in accordance with the circumstances, as well as approve reports on implemented activities. The Board will meet on a quarterly basis.

All day-to-day management duties will be conducted by the Project Manager appointed by UNDP, under the supervision of the Team Leader, with strong engagement of all involved counterparts and stakeholders.

The Project Team will have the following role:

1) Plan and coordinate technical, administrative and financial activities of the project

2) Ensure monitoring and control of activities

3) Financially manage the project (including effecting disbursements)

4) Prepare substantive and financial reports for the Project Board and UNDP.

UNDP will be responsible for: (i) providing project assurance services (ii) recruitment of project staff and contracting of consultants and service providers; (iii) overseeing financial expenditures against project budgets; and (iv) ensuring that all activities including procurement and financial services are carried out in strict compliance with UNDP procedures.

A UNDP Project Manager will be assigned (part-time) with the responsibility for day-to-day management and control over project finance. Besides, Project Assistant will be (part-time) engaged on the project to keep track on all admin and finance related activities operationally.

UNDP Country Office Montenegro will provide full support to the project and will assume full responsibility and accountability for the overall management of the project budget, efficient and effective use of resources, monitoring of the project implementation and timely reporting on the progress.

The UNDP country office shall provide support services for the Project as follows: (i) HR activities including recruitment of project personnel, external consultants, etc.; (ii) process of undertaking procurement processes for acquiring of project goods and services; (iii) financial transactions; etc.

Furthermore, it will support the co-ordination and networking with other related initiatives and institutions on the country, regional and global level.

V. RESULTS FRAMEWORK

Intended Outcome as stated in the UNDAF/Country [or Global/Regional] Programme Results and Resource Framework: By 2021, the people of Montenegro are benefiting from sustainable management of cultural and natural resources, combating climate change and disaster risk reduction.

Outcome indicators as stated in the Country Programme [or Global/Regional] Results and Resources Framework, including baseline and targets: Percentage decrease in annual emissions of greenhouse gases. Baseline (1990): 5.239KtCO_2eq, Target (2021): Reduction by at least 10% (4.715Kt)

Applicable Output(s) from the UNDP Strategic Plan:
Objective 1. Financial mechanism(s) established for co-financing energy efficiency measures
Output 1.1: **Inclusive, long-term Energy Efficiency Subsidy Program, based on regional best practices designed and piloted**

Project title and Atlas Project Number: **Strengthening the capacity to manage sustainable energy and climate projects and reduce air pollution in Pljevlja municipality**, **ID: 00136664**

EXPECTED OUTPUTS	OUTPUT INDICATORS	DATA SOURCE	BASELINE		TARGETS (by frequency of data collection)	DATA COLLECTION METHODS & RISKS
			Value	Year	Year 2022	
Municipal administration's capacities for managing decarbonization processes and implementation of inclusive, gender-responsive Energy Efficiency Subsidy Program strengthened	Number of households benefiting from the subsidy mechanism, of which % of women and men headed households		0	2021	*40*	*administrative data sources*
	Number of local companies involved in the mechanism Number of companies headed by women		*0*	*2021*	*4*	*administrative data sources*
	Share of citizens' (end beneficiaries) in co-financing of the total investment, of whom % women and men		*0 (%)*	*2021*	*50*	*administrative data sources*

Intended Outcome as stated in the UNDAF/Country [or Global/Regional] Programme Results and Resource Framework: **Reduction of air pollution through reduced consumption of solid fuels for household heating and other measures implemented at the local level**

Outcome indicators as stated in the Country Programme [or Global/Regional] Results and Resources Framework, including baseline and targets: Contribution to the reduction of GHG emissions at the local level by 40% by 2030, in relation to the level from 1990

Applicable Output(s) from the UNDP Strategic Plan:

Result 2. Local government capacities strengthened and independent in planning, creating, implementing and reporting measures to reduce GHG and managing the local mechanism for co-financing energy efficiency measures
Output 2.1: Local unit for sustainable energy and climate projects and local financial mechanisms established

Project title and Atlas Project Number: **Strengthening the capacity to manage sustainable energy and climate projects and reduce air pollution in Pljevlja municipality**, **ID: 00136664**

EXPECTED OUTPUTS	OUTPUT INDICATORS	DATA SOURCE	BASELINE		TARGETS (by frequency of data collection)	DATA COLLECTION METHODS & RISKS
			Value	Year	Year 2022	
	Local Environmental Action Plan for 2022-2026 developed		0	2021	*1*	*administrative data sources*
	Local unit for sustainable energy and climate projects and local financial mechanisms established		*0*	*2021*	*1*	*administrative data sources*
	Number of staff members of the unit trained to monitor and report on LEAP implementation and to manage and implement financial subsidy mechanisms, of whom % of women and men		*0*	*2021*	*3*	*administrative data sources*
	Online and offline tools for citizen involvement designed and piloted measured through number of requests from citizens (gender disaggregated) and number of responses by municipality		*0*	*2021*	*1*	*administrative data sources*

➢ MONITORING AND EVALUATION

Monitoring Plan

Monitoring Activity	Purpose	Frequency	Expected Action	Partners (if joint)	Cost (if any)
Track results progress	Progress data against the results indicators in the RRF will be collected and analysed to assess the progress of the project in achieving the agreed outputs.	Quarterly, or in the frequency required for each indicator.	Slower than expected progress will be addressed by project management.	UNDP	
Monitor and Manage Risk	Identify specific risks that may threaten achievement of intended results. Identify and monitor risk management actions using a risk log. This includes monitoring measures and plans that may have been required as per UNDP's Social and Environmental Standards. Audits will be conducted in accordance with UNDP's audit policy to manage financial risk.	Quarterly	Risks are identified by project management and actions are taken to manage risk. The risk log is actively maintained to keep track of identified risks and actions taken.	UNDP	
Learn	Knowledge, good practices and lessons will be captured regularly, as well as actively sourced from other projects and partners and integrated back into the project.	Annually	Relevant lessons are captured by the project team and used to inform management decisions.	UNDP	
Annual Project Quality Assurance	The quality of the project will be assessed against UNDP's quality standards to identify project strengths and weaknesses and to inform management decision making to improve the project.	Annually	Areas of strength and weakness will be reviewed by project management and used to inform decisions to improve project performance.	UNDP	
Review and Make Course Corrections	Internal review of data and evidence from all monitoring actions to inform decision making.	Semi-annually	Performance data, risks, lessons and quality will be discussed by the project board and used to make course corrections.	Pljevlja Municipality & UNDP	
Project Report	A progress report will be presented to the Project Board and key stakeholders, consisting of progress data showing the results achieved against pre-defined annual targets at the output level, the annual project quality rating summary, an updated risk long with mitigation measures, and any evaluation or review reports prepared over the period.	At the end of the project (final annual report)		Pljevlja Municipality & UNDP	
Project Review (Project Board)	The project's governance mechanism (i.e., project board) will hold regular project reviews to assess the performance of the project and review the Multi-Year Work Plan to ensure realistic budgeting over the life of the project. In the project's final year, the Project Board shall hold an end-of project review to capture lessons learned and discuss opportunities for scaling	Quarterly	Any quality concerns or slower than expected progress should be discussed by the project board and management actions agreed to address the issues identified.	Pljevlja Municipality & UNDP	

	up and to socialize project results and lessons learned with relevant audiences.				

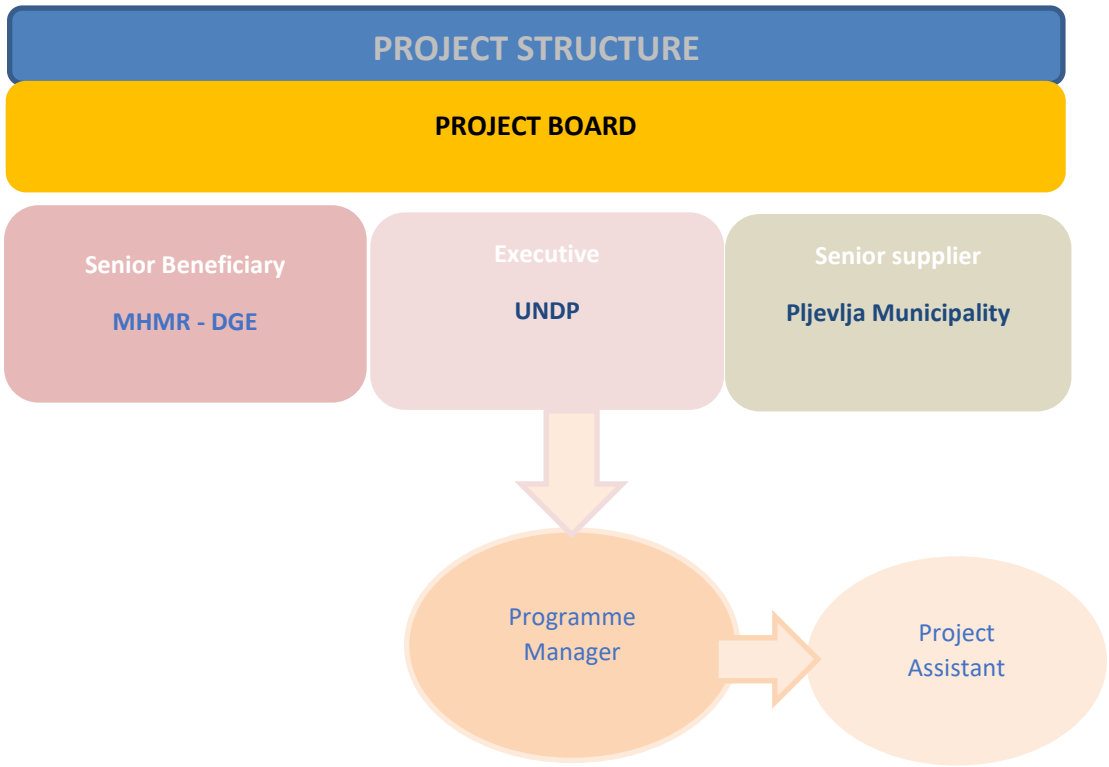
Empowered lives.
Resilient nations.

VII. MULTI-YEAR WORK PLAN

EXPECTED OUTPUTSS	PLANNED ACTIVITIES	PLANNED BUDGET BY YEAR		RESPONSIBLE PARTY	PLANNED BUDGET		
		Y1 2021	Y2 2022		Funding Source	Budget Description	Total Amount (EUR)
Municipal administration's capacities for managing decarbonization processes and implementation of inclusive, gender-sensitive Energy Efficiency Subsidy Program strengthened *Gender marker: 2*	Preparation of the Model for inclusive, gender-sensitive Energy Efficiency Support Program	16,500 (UNDP)	3,500 (Pljevlja)	UNDP	UNDP	International consultants (71300)	13,000
					UNDP	Project management support (71400)	3,500
					Pljevlja municipality	Project management support (71400)	3,500
	Implementation of Public Calls, promoting women's participation	9,500 (UNDP) 30,000 (Pljevlja)	220,249 (Pljevlja)	UNDP	UNDP	Local consultants (71300)	3,000
					UNDP	International consultants (71300)	3,000
					UNDP	Project management support (71400)	3,500
					Pljevlja municipality	Local consultants (71300)	3,500
					Pljevlja municipality	International consultants (71300)	4,000
					Pljevlja municipality	Companies (72100)	239,249
					Pljevlja municipality	Project management support (71400)	3,500
	Creating and piloting online and offline tools to involve citizens, ensuring the representation of women and girls	14,000 (UNDP)	3,500 (Pljevlja)	UNDP	UNDP	Local consultants (71300)	2,500
					UNDP	International consultants (71300)	3,000
					UNDP	Companies (72100)	5,000
					UNDP	Project management support (71400)	3,500

					Pljevlja municipality	Project management support (71400)	3,500
	Development of the gender-sensitive Local Environmental Action Plan (LEAP) and capacity building of local government	20,000 (UNDP)	3,500 (Pljevlja)	UNDP	UNDP	Local consultants (71300)	15,000
					UNDP	International consultants (71300)	
					UNDP	Companies (72100)	5,000
					Pljevlja municipality	(71400)	3,500
				SUBTOTAL	UNDP		60,000
					PLJEVLJA		260,749
Project management	General Management Support 4%	2,100 (Pljevlja)	16,801 (Pljevlja)	UNDP	Pljevlja municipality	(74500 & 71400)	10,755.77
	General management services (GMS) on financial contribution 3%				Pljevlja municipality	Facilitation & Administration (75100)	8,145.23
TOTAL							**339,650**

VIII. GOVERNANCE AND MANAGEMENT ARRANGEMENTS



While **Steering Committee** will have decision making mandate at policy level, day to day management will be assured through Programme Manager.

Project Team

The implementation of the Project will be supervised by the Programme Manager while Programme Assistant will be responsible for administrative process maintenance within daily responsibilities, under the Programme Manager's guidance related to service providing, coordination with partners and support in overall Project implementation

Project has envisaged Project Assistant on 50% of time basis for the period of project duration - 12 months and Programme Manager for the project duration period of 12 months.

All procurement and recruitment procedures will be conducted in accordance with UNDP rules and regulations.

➢ LEGAL CONTEXT

Option a. Where the country has signed the Standard Basic Assistance Agreement (SBAA)

This project document shall be the instrument referred to as such in Article 1 of the Standard Basic Assistance Agreement between the Government of (country) and UNDP, signed on (date). All references in the SBAA to "Executing Agency" shall be deemed to refer to "Implementing Partner."

This project will be implemented by [name of entity] ("Implementing Partner") in accordance with its financial regulations, rules, practices and procedures only to the extent that they do not contravene the principles of the Financial Regulations and Rules of UNDP. Where the financial governance of an Implementing Partner does not provide the required guidance to ensure best value for money, fairness, integrity, transparency, and effective international competition, the financial governance of UNDP shall apply.

Option b. Where the country has NOT signed the Standard Basic Assistance Agreement (SBAA)

The project document shall be the instrument envisaged and defined in the Supplemental Provisions to the Project Document, attached hereto and forming an integral part hereof, as "the Project Document".

This project will be implemented by [name of entity] ("Implementing Partner") in accordance with its financial regulations, rules, practices and procedures only to the extent that they do not contravene the principles of the Financial Regulations and Rules of UNDP. Where the financial governance of an Implementing Partner does not provide the required guidance to ensure best value for money, fairness, integrity, transparency, and effective international competition, the financial governance of UNDP shall apply.

Option c. For Global and Regional Projects

This project forms part of an overall programmatic framework under which several separate associated country level activities will be implemented. When assistance and support services are provided from this Project to the associated country level activities, this document shall be the "Project Document" instrument referred to in: (i) the respective signed SBAAs for the specific countries; or (ii) in the Supplemental Provisions to the Project Document attached to the Project Document in cases where the recipient country has not signed an SBAA with UNDP, attached hereto and forming an integral part hereof. All references in the SBAA to "Executing Agency" shall be deemed to refer to "Implementing Partner."

This project will be implemented by [name of entity] ("Implementing Partner") in accordance with its financial regulations, rules, practices and procedures only to the extent that they do not contravene the principles of the Financial Regulations and Rules of UNDP. Where the financial governance of an Implementing Partner does not provide the required guidance to ensure best value for money, fairness, integrity, transparency, and effective international competition, the financial governance of UNDP shall apply**.**

➢ RISK MANAGEMENT

Option b. UNDP (DIM)

1. UNDP as the Implementing Partner will comply with the policies, procedures and practices of the United Nations Security Management System (UNSMS.)

2. UNDP as the Implementing Partner will undertake all reasonable efforts to ensure that none of the [project funds][1] [UNDP funds received pursuant to the Project Document][2] are used to provide support to individuals or entities associated with terrorism and that the recipients of any amounts provided by UNDP hereunder do not appear on the list maintained by the Security Council Committee established pursuant to resolution 1267 (1999). The list can be accessed via http://www.un.org/sc/committees/1267/aq_sanctions_list.shtml. This provision must be included in all sub-contracts or sub-agreements entered into under this Project Document.

3. Social and environmental sustainability will be enhanced through application of the UNDP Social and Environmental Standards (http://www.undp.org/ses) and related Accountability Mechanism (http://www.undp.org/secu-srm).

4. UNDP as the Implementing Partner will: (a) conduct project and programme-related activities in a manner consistent with the UNDP Social and Environmental Standards, (b) implement any management or mitigation plan prepared for the project or programme to comply with such standards, and (c) engage in a constructive and timely manner to address any concerns and complaints raised through the Accountability Mechanism. UNDP will seek to ensure that communities and other project stakeholders are informed of and have access to the Accountability Mechanism.

5. In the implementation of the activities under this Project Document, UNDP as the Implementing Partner will handle any sexual exploitation and abuse ("SEA") and sexual harassment ("SH") allegations in accordance with its regulations, rules, policies and procedures.

6. All signatories to the Project Document shall cooperate in good faith with any exercise to evaluate any programme or project-related commitments or compliance with the UNDP Social and Environmental Standards. This includes providing access to project sites, relevant personnel, information, and documentation.

[1] To be used where UNDP is the Implementing Partner

[2] To be used where the UN, a UN fund/programme or a specialized agency is the Implementing Partner

7. UNDP as the Implementing Partner will ensure that the following obligations are binding on each responsible party, subcontractor and sub-recipient:

    a. Consistent with the Article III of the SBAA *[or the Supplemental Provisions to the Project Document]*, the responsibility for the safety and security of each responsible party, subcontractor and sub-recipient and its personnel and property, and of UNDP's property in such responsible party's, subcontractor's and sub-recipient's custody, rests with such responsible party, subcontractor and sub-recipient. To this end, each responsible party, subcontractor and sub-recipient shall:
        i. put in place an appropriate security plan and maintain the security plan, taking into account the security situation in the country where the project is being carried;
        ii. assume all risks and liabilities related to such responsible party's, subcontractor's and sub-recipient's security, and the full implementation of the security plan.

    b. UNDP reserves the right to verify whether such a plan is in place, and to suggest modifications to the plan when necessary. Failure to maintain and implement an appropriate security plan as required hereunder shall be deemed a breach of the responsible party's, subcontractor's and sub-recipient's obligations under this Project Document.
    c. In the performance of the activities under this Project, UNDP as the Implementing Partner shall ensure, with respect to the activities of any of its responsible parties, sub-recipients and other entities engaged under the Project, either as contractors or subcontractors, their personnel and any individuals performing services for them, that those entities have in place adequate and proper procedures, processes and policies to prevent and/or address SEA and SH.

    d. Each responsible party, subcontractor and sub-recipient will take appropriate steps to prevent misuse of funds, fraud or corruption, by its officials, consultants, subcontractors and sub-recipients in implementing the project or programme or using the UNDP funds. It will ensure that its financial management, anti-corruption and anti-fraud policies are in place and enforced for all funding received from or through UNDP.

    e. The requirements of the following documents, then in force at the time of signature of the Project Document, apply to each responsible party, subcontractor and sub-recipient: (a) UNDP Policy on Fraud and other Corrupt Practices and (b) UNDP Office of Audit and Investigations Investigation Guidelines. Each responsible party, subcontractor and sub-recipient agrees to the requirements of the above documents, which are an integral part of this Project Document and are available online at www.undp.org.

    f. In the event that an investigation is required, UNDP will conduct investigations relating to any aspect of UNDP programmes and projects. Each responsible party, subcontractor and sub-recipient will provide its full cooperation, including making available personnel, relevant documentation, and granting access to its (and its consultants', subcontractors' and sub-recipients') premises, for such purposes at reasonable times and on reasonable conditions as may be required for the purpose of an investigation. Should there be a limitation in meeting this obligation, UNDP shall consult with it to find a solution.

    g. Each responsible party, subcontractor and sub-recipient will promptly inform UNDP as the Implementing Partner in case of any incidence of inappropriate use of funds, or credible allegation of fraud or corruption with due confidentiality.

        Where it becomes aware that a UNDP project or activity, in whole or in part, is the focus of investigation for alleged fraud/corruption, each responsible party, subcontractor and sub-recipient will inform the UNDP Resident Representative/Head of Office, who will promptly inform UNDP's Office of Audit and Investigations (OAI). It will provide regular updates to the head of UNDP in the country and OAI of the status of, and actions relating to, such investigation.

    h. Choose one of the three following options:

        Option 1: UNDP will be entitled to a refund from the responsible party, subcontractor or sub-recipient of any funds provided that have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of this Project Document. Such amount may be deducted by UNDP from any payment due to the responsible party, subcontractor or sub-recipient under this or any other agreement. Recovery of such amount by UNDP shall not diminish or curtail any responsible party's, subcontractor's or sub-recipient's obligations under this Project Document.

        Option 2: Each responsible party, subcontractor or sub-recipient agrees that, where applicable, donors to UNDP (including the Government) whose funding is the source, in whole or in part, of the funds for the activities which are the subject of the Project Document, may seek recourse to such responsible party, subcontractor or sub-recipient for the

recovery of any funds determined by UNDP to have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document.

Option 3: UNDP will be entitled to a refund from the responsible party, subcontractor or sub-recipient of any funds provided that have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document. Such amount may be deducted by UNDP from any payment due to the responsible party, subcontractor or sub-recipient under this or any other agreement.

Where such funds have not been refunded to UNDP, the responsible party, subcontractor or sub-recipient agrees that donors to UNDP (including the Government) whose funding is the source, in whole or in part, of the funds for the activities under this Project Document, may seek recourse to such responsible party, subcontractor or sub-recipient for the recovery of any funds determined by UNDP to have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document.

Note: The term "Project Document" as used in this clause shall be deemed to include any relevant subsidiary agreement further to the Project Document, including those with responsible parties, subcontractors and sub-recipients.

i. Each contract issued by the responsible party, subcontractor or sub-recipient in connection with this Project Document shall include a provision representing that no fees, gratuities, rebates, gifts, commissions or other payments, other than those shown in the proposal, have been given, received, or promised in connection with the selection process or in contract execution, and that the recipient of funds from it shall cooperate with any and all investigations and post-payment audits.

j. Should UNDP refer to the relevant national authorities for appropriate legal action any alleged wrongdoing relating to the project or programme, the Government will ensure that the relevant national authorities shall actively investigate the same and take appropriate legal action against all individuals found to have participated in the wrongdoing, recover and return any recovered funds to UNDP.

k. Each responsible party, subcontractor and sub-recipient shall ensure that all of its obligations set forth under this section entitled "Risk Management" are passed on to its subcontractors and sub-recipients and that all the clauses under this section entitled "Risk Management Standard Clauses" are adequately reflected, *mutatis mutandis*, in all its sub-contracts or sub-agreements entered into further to this Project Document.

Special Clauses. In case of government cost-sharing through the project, the following clauses should be included:

1. The schedule of payments and UNDP bank account details.

2. The value of the payment, if made in a currency other than United States dollars, shall be determined by applying the United Nations operational rate of exchange in effect on the date of payment. Should there be a change in the United Nations operational rate of exchange prior to the full utilization by the UNDP of the payment, the value of the balance of funds still held at that time will be adjusted accordingly. If, in such a case, a loss in the value of the balance of funds is recorded, UNDP shall inform the Government with a view to determining whether any further financing could be provided by the Government. Should such further financing not be available, the assistance to be provided to the project may be reduced, suspended or terminated by UNDP.

3. The above schedule of payments takes into account the requirement that the payments shall be made in advance of the implementation of planned activities. It may be amended to be consistent with the progress of project delivery.

4. UNDP shall receive and administer the payment in accordance with the regulations, rules and directives of UNDP.

5. All financial accounts and statements shall be expressed in United States dollars.

6. If unforeseen increases in expenditures or commitments are expected or realized (whether owing to inflationary factors, fluctuation in exchange rates or unforeseen contingencies), UNDP shall submit to the government on a timely basis a supplementary estimate showing the further financing that will be necessary. The Government shall use its best endeavors to obtain the additional funds required.

7. If the payments referred above are not received in accordance with the payment schedule, or if the additional financing required in accordance with paragraph [] above is not forthcoming from the Government or other sources, the assistance to be provided to the project under this Agreement may be reduced, suspended or terminated by UNDP.

8. Any interest income attributable to the contribution shall be credited to UNDP Account and shall be utilized in accordance with established UNDP procedures.

In accordance with the decisions and directives of UNDP's Executive Board:

The contribution shall be charged:

(a) […%] cost recovery for the provision of general management support (GMS) by UNDP headquarters and country offices

(b) Direct cost for implementation support services (ISS) provided by UNDP and/or an executing entity/implementing partner.

9. Ownership of equipment, supplies and other properties financed from the contribution shall vest in UNDP. Matters relating to the transfer of ownership by UNDP shall be determined in accordance with the relevant policies and procedures of UNDP.

10. The contribution shall be subject exclusively to the internal and external auditing procedures provided for in the financial regulations, rules and directives of UNDP."

➢ ANNEX 1: RISK ANALYSIS

Project Title:					Award ID:			Date:	
#	**Description**	**Date Identified**	**Type**	**Impact & Probability**	**Countermeasures / Mngt response**	**Owner**	**Submitted, updated by**	**Last Update**	**Status**
1	Limited capacities of the local administration to implement the Subsidy Model and the Local environment action plan	01/09/2021	Strategic	Impact (I) = 2 Probability (P) = 2	The Project will provide peer to peer learning and on the job training of selected municipal administration servants so as to enable them to continuously implement, monitor and report on both the Subsidy Model and the LEAP.	Programme manager Project Board	Programme manager		
2	Insufficient interest of local households to invest in energy efficiency measures such as thermal insulation on residential facades, installing energy efficient facade joinery and replacing furnaces powered by solid fuels, used for heating etc.	01/09/2021	Social / Enabling environment	Impact (I) = 3 Probability (P) = 3	The project will invest in the platform for enhanced communication of the local administration with citizens and will have large campaign to present the benefits of the Model towards the local population as well as financing sector (commercial banks)	Programme manager Project Board	Programme manager		
3	Limited capacities of local companies envisaged to implement various energy efficiency measures	01/09/2021	Social / Enabling environment	Impact (I) = 3 Probability (P) = 2	The Project will have thorough mapping of all different companies throughout Montenegro to identify the ones with necessary capacities and will conduct the Call for Proposals to select the ones that will be contracted for specific activities of design, procurement, installation and maintenance of specific equipment.	Programme manager Project Board	Programme manager		

➢ ANNEXES

1. **Project Quality Assurance Report**

2. **Social and Environmental Screening Template** [English] [French] [Spanish], including additional Social and Environmental Assessments or Management Plans as relevant. *(NOTE: The SES Screening is not required for projects in which UNDP is Administrative Agent only and/or projects comprised solely of reports, coordination of events, trainings, workshops, meetings, conferences, preparation of communication materials, strengthening capacities of partners to participate in international negotiations and conferences, partnership coordination and management of networks, or global/regional projects with no country level activities).*